

**CITY OF SANTA CLARITA
AGENDA REPORT**

CONSENT CALENDAR City Manager Approval: _____
Item to be presented by: Armine Chaparyan

DATE: April 24, 2012

SUBJECT: SUCCESSOR AGENCY OF THE REDEVELOPMENT AGENCY
OF THE CITY OF SANTA CLARITA AMEND AND ADOPT THE
RECOGNIZED ENFORCEABLE OBLIGATION PAYMENT
SCHEDULE AND ADOPT AN ADMINISTRATIVE BUDGET FOR
FISCAL YEAR 2012-13

DEPARTMENT: Community Development

RECOMMENDED ACTION

1. City Council, acting as Successor Agency for the Redevelopment Agency of the City of Santa Clarita, adopt an amended Recognized Obligation Payment schedule for the period of January 1-June 30, 2012.
2. Adopt the Recognized Obligation Payment Schedule for the period of July 1-December 31, 2012.
3. Adopt an administrative budget for Fiscal Year 2012-13 to cover the administrative costs associated with staffing the Oversight Board.

BACKGROUND

As part of the dissolution process for the Redevelopment Agency, the City, acting as Successor Agency for the Redevelopment Agency of the City of Santa Clarita (Successor Agency), must undertake a number of administrative actions on an ongoing basis. The actions presented below are required to be submitted to the Oversight Board for formal approval and provided to the State Department of Finance, the State Controller's Office, and the County Auditor-Controller. Staff is working to schedule an Oversight Board meeting between April 25 - May 1, pending the appointment of the remainder of the Oversight Board members and the availability of a quorum.

Recognized Obligation Payment Schedule (ROPS)

For each six-month period, the Successor Agency is required to adopt the Recognized Obligation Payment Schedule (ROPS). The ROPS serves as an invoice between the Successor Agency and Los Angeles County (County) and dictates how much former property tax increment will be released by the County to the Successor Agency. Only payments listed on the ROPS may be made by the Successor Agency.

On February 28, 2012, the Successor Agency adopted the ROPS for the period of February 1 through June 30, 2012. Since then, the California Department of Finance issued guidance stating the first ROPS must also include payments to be made in the month of January 2012. An amended ROPS is attached to meet the new guidance.

Additionally, it is necessary for the Successor Agency to adopt an ROPS covering the period of July 1 through December 31, 2012.

Administrative Budget

The Successor Agency is allowed an administrative allowance, subject to approval by the Oversight Board, in an amount not less than \$250,000 for any fiscal year unless negotiated by the Successor Agency and Oversight Board.

The Successor Agency is requesting \$526,796 for its administrative budget for Fiscal Year 2012-13 to cover all costs to administer the distribution of the former Redevelopment Agency's assets and to fulfill all other obligations of the former Agency. Staff is aware the amount requested exceeds the statutory minimum. However, these are the actual costs that will be incurred to administer the Successor Agency during Fiscal Year 2012-13. By comparison, the Redevelopment Agency's budget of comparable line-items and charges for Fiscal Year 2011-12 totaled \$557,091.

The proposed administrative budget includes personnel charges, costs related to the preparation for and hosting of meetings for the Oversight Board (including office supplies, printing, and special supplies), contractual services, and overhead reimbursements to the General Fund (including appraisals, financial advisor, accounting, mail, and technology). A detailed breakdown of the administrative budget is attached.

The funds for the proposed administrative budget will be appropriated during the City's annual budget process. If the full amount requested is not approved by the Oversight Board and the Department of Finance, this will be addressed during the City's annual budget process.

ALTERNATIVE ACTIONS

Other actions as determined by City Council.

FISCAL IMPACT

Funds to pay for the obligations listed on the ROPS between January 1 through June 30, 2012, are budgeted and available in the City's Redevelopment Obligation Retirement Fund (392). Funds are expected to be released by the County on June 1, 2012, and placed in the City's Redevelopment Obligation Retirement Fund (392) to cover the expenditures listed on the ROPS for the period of July 1 through December 31, 2012, and the proposed Fiscal Year 2012-13 administrative budget.

ATTACHMENTS

ROPS January 1 - June 30, 2012

ROPS July 1 - December 31, 2012

Fiscal Year 2012-13 Successor Agency Budget

DRAFT RECOGNIZED OBLIGATION PAYMENT SCHEDULE

Per AB 26 - Section 34167 and 34169

Project Name / Debt Obligation	Payee	Description	Source of Funding	Total Outstanding Debt or Obligation	Total Due During Fiscal Year	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Total
1) Tax Allocation Bonds Series 2008	Bank of New York	Bonds issued to fund redevelopment projects	Tax Increment Revenue	55,168,125.58	1,778,948.00			1,118,974.00				\$ 1,118,974.00
2) Housing Set-Aside Tax Alloc. Bonds Series 2008	Bank of New York	Bonds issued to fund low and moderate income housing projects and programs	Tax Increment Revenue	16,498,629.44	535,056.00			336,378.00				\$ 336,378.00
3) City Loan	City of Santa Clarita	Loan for public works project	Tax Increment Revenue	12,640,466.19	840,113.96			420,056.98				\$ 420,056.98
4) City Loan entered into on 12/08/09	City of Santa Clarita	Loan for public works project	Tax Increment Revenue	1,186,850.53	0.00							\$ -
5) City Loan entered into on 6/22/10	City of Santa Clarita	Loan for public works project	Tax Increment Revenue	1,059,518.58	0.00							\$ -
6) Successor Agency Administrative Costs	Various	Administrative agency costs	Tax Increment Revenue (Admin. Cost Allowance)	526,796.00	526,796.00	87,799.33	87,799.33	87,799.33	87,799.33	87,799.33	87,799.33	\$ 526,796.00
7) Contract for Engineering Services	HDR Engineering	Engineering services for the Successor Agency	Tax Increment Revenue	4,145.00	4,145.00	690.83	690.83	690.83	690.83	690.83	690.83	\$ 4,145.00
8) Newhall Roundabout	So. Cal. Edison	Streetlight design and pole relocation	Tax Increment Revenue	115,000.00	115,000.00	19,166.67	19,166.67	19,166.67	19,166.67	19,166.67	19,166.67	\$ 115,000.00
9) Oversight Board Legal Expenses	T.B.D.	Legal costs associated with actions of the Oversight Board	Tax Increment Revenue	35,000.00	35,000.00	2,916.66	2,916.66	2,916.66	2,916.66	2,916.66	2,916.66	\$ 17,499.96
Totals				\$ 87,234,532.32	\$ 3,835,058.96	\$ 110,573.49	\$ 110,573.49	\$ 1,985,982.47	\$ 110,573.49	\$ 110,573.49	\$ 110,573.49	\$ 2,538,849.94

Fiscal Year 2012-13 Successor Agency Budget

Funding Source: Successor Agency			
Account Numbers: 13403 and 13404			
5001.001	Regular Employees	\$	215,993
5011.001	Health & Welfare	\$	26,838
5011.002	Life Insurance	\$	454
5011.003	Long-Term Disability Insurance	\$	1,382
5011.004	Medicare	\$	3,835
5011.005	Worker's Compensation	\$	4,507
5011.006	PERS	\$	45,744
5011.007	Deferred Compensation	\$	2,400
5011.010	Supplemental Health	\$	1,908
5011.011	EAP	\$	65
5101.003	Office Supplies	\$	500
5101.004	Printing	\$	500
5161.001	Contractual Services	\$	35,000
5161.100	Legal Services	\$	35,000
5111.001	Special Supplies	\$	2,000
5511.100	Reimbursement to GF	\$	150,670
Total Administrative Allowance		\$	526,796